

LECTURE 2

RECOGNIZING OPPORTUNITIES AND GENERATING IDEAS



Charlotte Adjanor-Doku, PhD
Department of Human Resource & Organisational
Development
KNUST School of Business
cadjanor-doku@knust.edu.gh



2-1

Objectives of Lecture

1. Explain the difference between opportunities and ideas.
2. Describe the three general approaches entrepreneurs use to identify opportunities.
3. Discuss the personal characteristics of entrepreneurs that contribute to their ability to recognize business opportunities.
4. Identify and describe techniques entrepreneurs use to generate ideas.



Objectives of Lecture 2

5. Discuss actions to take to encourage continuous development of new ideas in entrepreneurial firms.





What is an Opportunity?



What is an Opportunity?

Opportunity Defined

An opportunity is a favorable set of circumstances that creates a need for a new product, service, or business.





How about an idea?



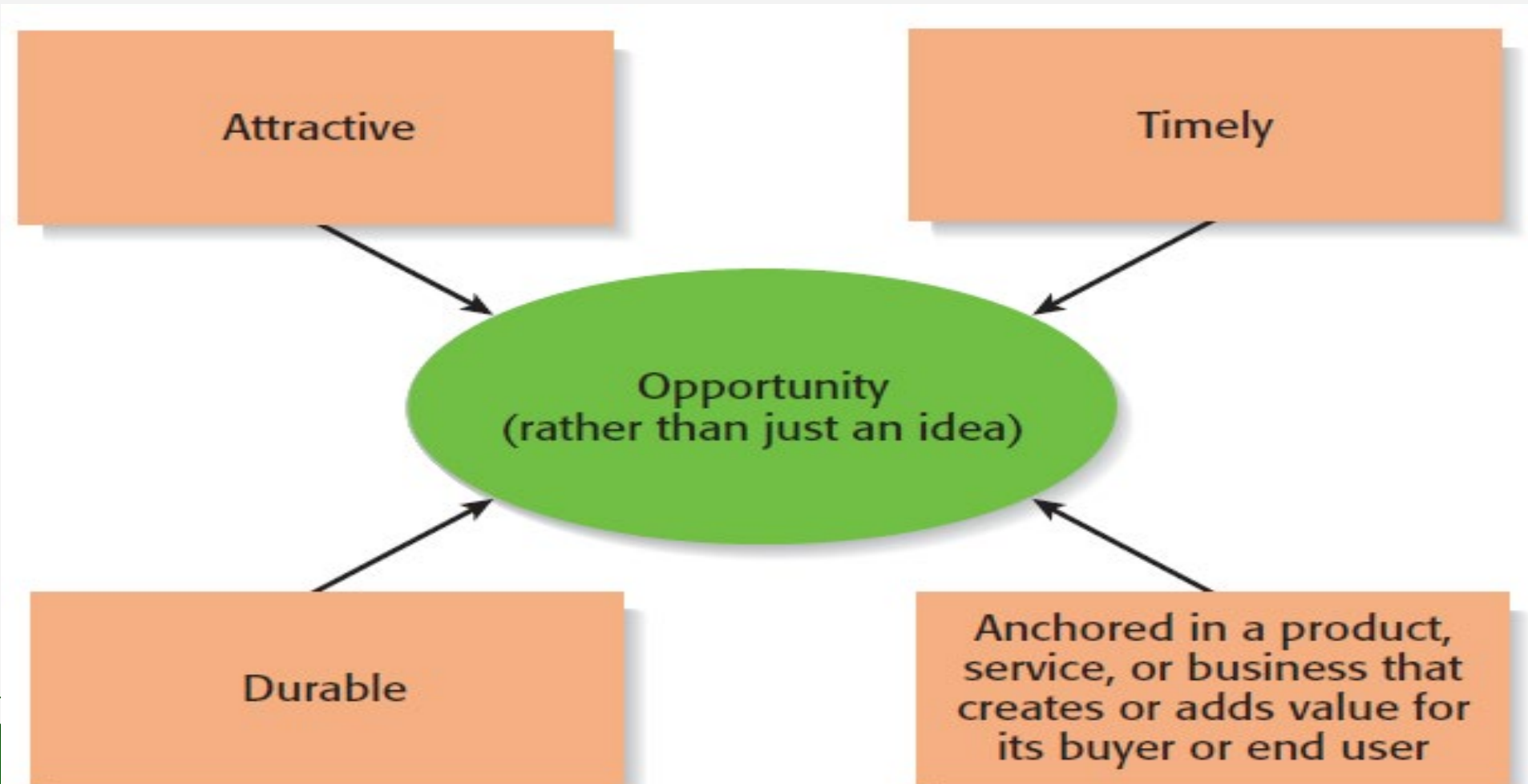
What is the difference between idea and opportunity?

An idea is simply a creative thought or a concept, whereas an opportunity is a chance to bring that idea to life and make it a reality.

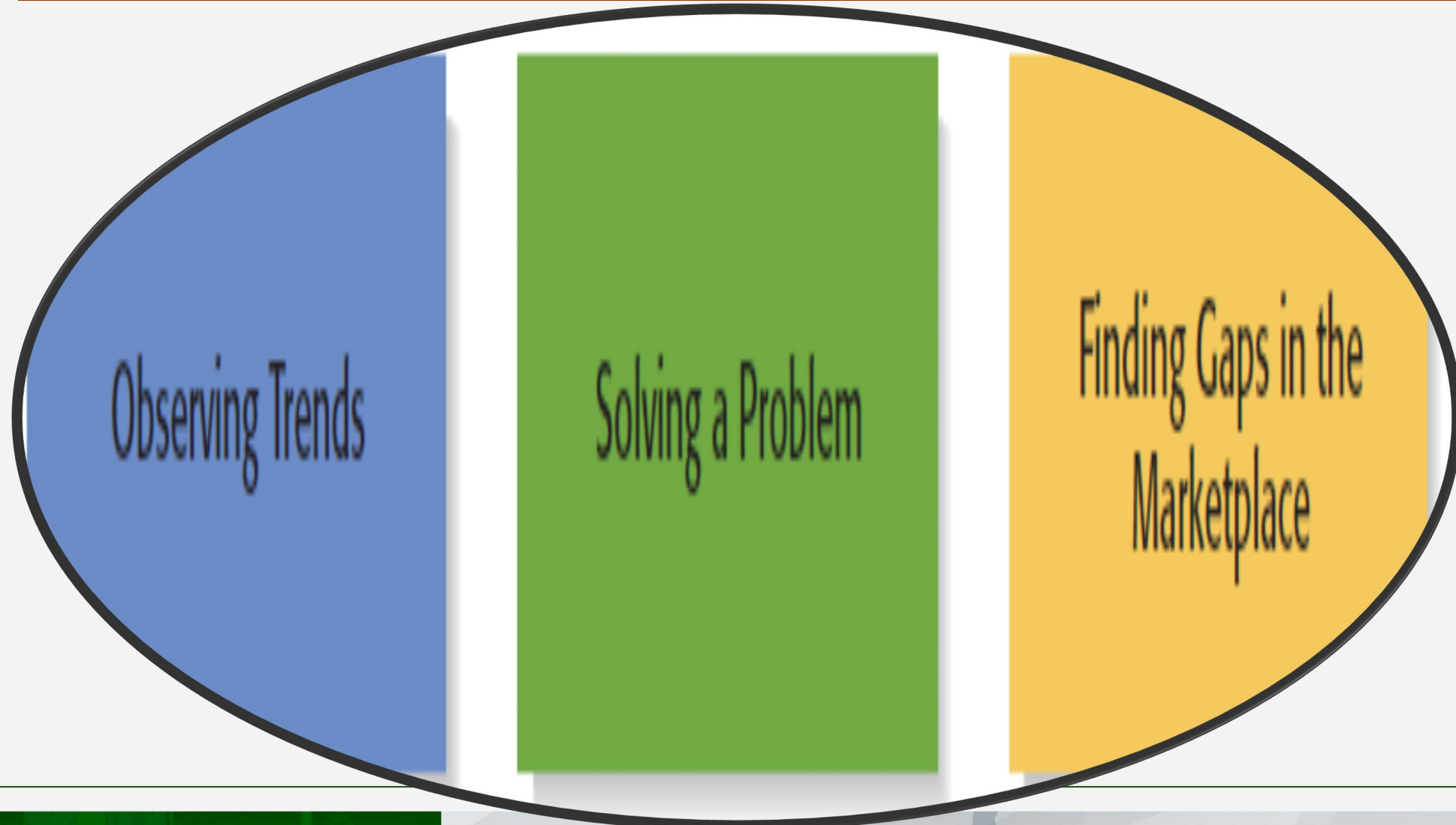


What is an Opportunity?

Four Essential Qualities of an Opportunity



Three Ways to Identify an Opportunity



First Approach: Observing Trends

- Observing Trends
 - Trends create opportunities for entrepreneurs to pursue.
 - The most important trends are:
 - Economic forces
 - Social forces
 - Technological advances
 - Political and regulatory change
 - It's important to be aware of changes in these areas.



First Approach: Observing Trends

Environmental Trends Suggesting Business or Product Opportunity Gaps

Economic Forces
State of the economy
Level of disposable income
Consumer spending patterns

Social Forces
Social and cultural trends
Demographic changes
What people think is "in"

Technological Advances
New technologies
Emerging technologies
New uses of old technologies

Political and Regulatory Changes
New changes in political arena
New laws and regulations

Business, Product or Service Opportunity Gap
Difference between what's available and what's possible

New Business, Product and Service Ideas



Trend 1: Economic Forces

Economic trends help determine areas that are ripe for new start-ups and areas that start-ups should avoid.

Example of Economic Trend

Creating a Favorable Opportunity

- A weak economy favors start-ups that help consumers save money.
- An example is GasBuddy.com, a company started to help consumers save money on gas.



Trend 2: Social Forces

Social trends alter how people and businesses behave and set their priorities. These trends provide opportunities for new businesses to accommodate the changes.

Examples of Social Trends

- Aging of the population.
- Increasing diversity of the workplace.
- Increased participation in social networks.
- Growth in the uses of mobile devices.
- An increasing focus on health and wellness.



Trend 3: Technological Advances

Advances in technology frequently create business opportunities.

Examples of Entire Industries that Have Been Created as the Result of Technological Advances

- Computer industry
- Computer assisted voicing
- Internet
- Biotechnology
- Digital photography



Trend 3: Technological Advances

Once a technology is created, products often emerge to advance it.

Example: H20Audio

An example is H20Audio, a company started by four former San Diego State University students, that makes waterproof housings and earbuds for the Apple iPhone.



Trend 4: Political Action and Regulatory Changes

Political action and regulatory changes also provide the basis for opportunities.

General Example

Laws to protect the environment have created opportunities for entrepreneurs to start firms that help other firms comply with environmental laws and regulations.



Trend 4: Political Action and Regulatory Changes

Company
created to help
other companies
comply with the
law.

Specific Example

Zoomlion is a non-government agency that formulates and enforces safety, health, and environmental regulations for the workplace. This Safety Compliance Company was started to help other companies comply with environmental/sanitation regulations.



Second Approach: Solving a Problem

Solving a Problem

- Sometimes identifying opportunities simply involves noticing a problem and finding a way to solve it.
- These problems can be pinpointed through observing trends and through more simple means, such as intuition, serendipity, or change.
- Many companies have been started by people who have experienced a problem in their own lives, and then realized that the solution to the problem represented a business opportunity.



Second Approach: Solving a Problem

- A problem facing Ghana and other African countries is finding alternatives to expensive power.
- A large number of entrepreneurial firms, like those into solar energy, are being launched to solve this problem.



Third Approach: Finding Gaps in the Marketplace

- **Gaps in the Marketplace**
 - A third approach to identifying opportunities is to find a gap in the marketplace.
 - A gap in the marketplace is often created when a product or service is needed by a specific group of people but doesn't represent a large enough market to be of interest to mainstream retailers or manufacturers.



Third Approach: Finding Gaps in the Marketplace

Product gaps in the marketplace represent potentially viable business opportunities.

Specific Example

Tish Cirovolv realized there were no guitars on the market made specifically for females. To fill this gap, she started Daisy Rock Guitars, a company that makes guitars just for women and girls.



Personal Characteristics of the Entrepreneur that help in opportunity recognition

Characteristics that tend to make some people better at recognizing opportunities than others

Prior Experience

Cognitive Factors

Social Networks

Creativity



Prior Experience

- Several studies have shown that prior experience in an industry helps an entrepreneur recognize business opportunities.
 - By working in an industry, an individual may spot a market niche that is underserved.
 - It is also possible that by working in an industry, an individual builds a network of social contacts who provide insights that lead to recognizing new opportunities.



Cognitive Factors

■ Cognitive Factors

- Studies have shown that opportunity recognition may be an innate skill or cognitive process.
- Some people believe that entrepreneurs have a “sixth sense” that allows them to see opportunities that others miss.
- This “sixth sense” is called entrepreneurial alertness, which is formally defined as the ability to notice things without engaging in deliberate search.



Social Networks

■ Social Networks

- The extent and depth of an individual's social network affects opportunity recognition.
- People who build a substantial network of social and professional contacts will be exposed to more opportunities and ideas than people with sparse networks.
- Research results suggest that between 40% and 50% of people who start a business got their idea via a social contact.

■ Strong Tie Vs. Weak Tie Relationships

- All of us have relationships with other people that are called “ties.” (See next slide.)



Social Networks

- **Nature of Strong-Tie Vs. Weak-Tie Relationships**
 - Strong-tie relationships are characterized by frequent interaction and normally form between coworkers, friends, and spouses.
 - Weak-tie relationships are characterized by infrequent interaction and form between casual acquaintances.
- **Result**
 - It is more likely that an entrepreneur will get new business ideas through weak-tie rather than strong-tie relationships. (See next slide.)



Social Networks

Why weak-tie relationships lead to more new business ideas than strong-tie relationships

Strong-Tie Relationships

These relationships, which typically form between like-minded individuals, tend to reinforce insights and ideas that people already have.

Weak-Tie Relationships

These relationships, which form between casual acquaintances, are not as apt to be between like-minded individuals, so one person may say something to another that sparks a completely new idea.



Creativity

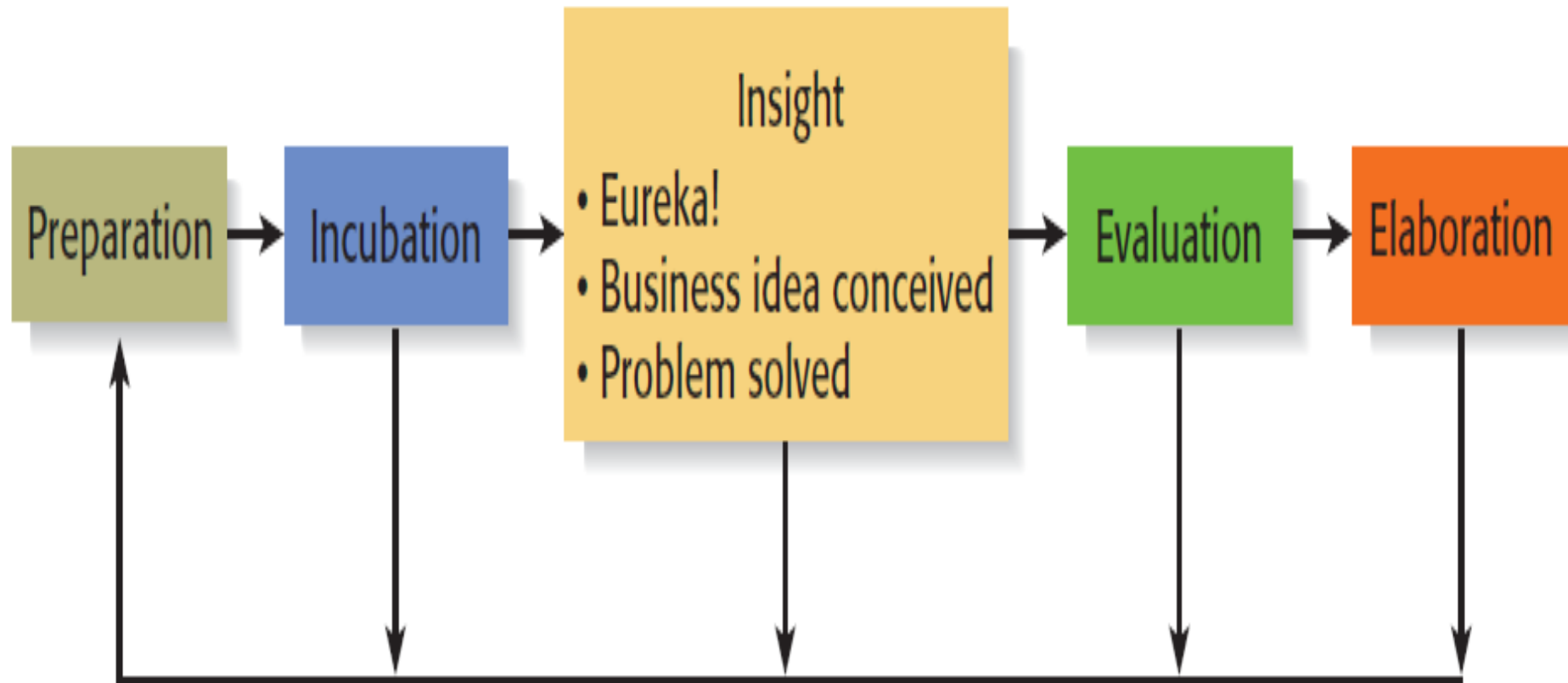
■ Creativity

- Creativity is the process of generating a novel or useful idea.
- Opportunity recognition may be, at least in part, a creative process.
- For an individual, the creative process can be broken down into five stages, as shown on the next slide.



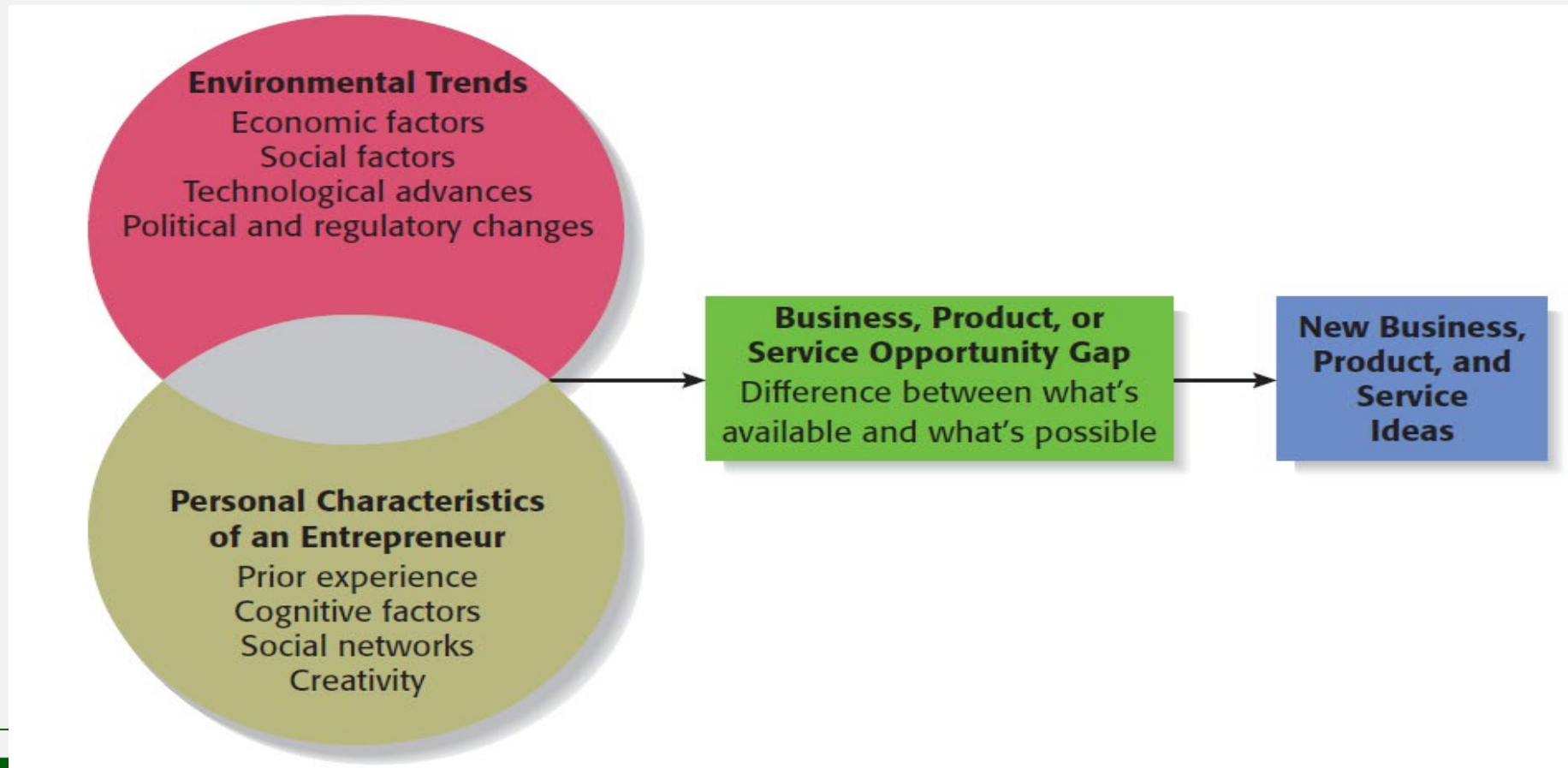
Creativity

Five Steps to Generating Creative Ideas



Full View of the Opportunity Recognition Process

Depicts the connection between an awareness of emerging trends and the personal characteristics of the entrepreneur



Techniques for Generating Ideas

Brainstorming

Focus Groups

Library and
Internet Research



Brainstorming

- Is a technique used to generate a large number of ideas and solutions to problems quickly.
- A brainstorming “session” typically involves a group of people, and should be targeted to a specific topic.
- Rules for a brainstorming session:
 - No criticism.
 - Freewheeling is encouraged.
 - The session should move quickly.
 - Leap-frogging is encouraged.



Focus Groups

- A focus group is a gathering of five to ten people, who have been selected based on their common characteristics relative to the issues being discussed.
- These groups are led by a trained moderator, who uses the internal dynamics of the group environment to gain insight into why people feel the way they do about a particular issue.
- Although focus groups are used for a variety of purposes, they can be used to help generate new business ideas.



Library and Internet Research

■ Library Research

- Libraries are an often underutilized source of information for generating new business ideas.
- The best approach is to talk to a reference librarian, who can point out useful resources, such as industry-specific magazines, trade journals, and industry reports.
- Simply browsing through several issues of a trade journal or an industry report on a topic can spark new ideas.



Library and Internet Research

Large public and university libraries typically have access to search engines and industry reports that would cost thousands of dollars to access on your own.

Examples of Useful Search Engines and Industry Reports

- BizMiner
- ProQuest
- IBISWorld
- Mintel
- LexisNexis Academic



Library and Internet Research

■ Internet Research

- If you are starting from scratch, simply typing “new business ideas” into a search engine will produce links to newspapers and magazine articles about the “hottest” new business ideas.
- If you have a specific topic in mind, setting up Google mail alerts will provide you with links to a constant stream of newspaper articles, blog posts, and news releases about the topic.
- Targeted searches are also useful.



Other Techniques

■ Customer Advisory Boards

- Some companies set up customer advisory boards that meet regularly to discuss needs, wants, and problems that may lead to new ideas.

■ Day-In-The-Life Research

- A type of anthropological research, where the employees of a company spend a day with a customer.



Encouraging New Ideas

■ Establishing a Focal Point for Ideas

- Some firms meet the challenge of encouraging, collecting, and evaluating ideas by designating a specific person to screen and track them—for if it's everybody's job, it may be no one's responsibility.
- Another approach is to establish an idea bank which is a physical or digital repository for storing ideas.

■ Encouraging Creativity at the Firm Level

- Creativity is the raw material that goes into innovation and should be encouraged at the organizational and individual supervisory level.



Assignment:

In groups of not more than FIVE and based on department.

1. Three ways to identify business opportunities are by (a) observing trends (b) solving problems (c) finding gaps in the market

REQUIRED: with your experience and observation of the Ghanaian context, explain with illustrations and or examples a business in each case that can be identified under each of the 3 ways stated above.

2. The Ministry of Business Development is a ministry that supports entrepreneurship through its own activities and activities of its agencies.

With rigorous research on this ministry,

(a) discuss the mandate of the ministry

(b) identify its agencies and discuss the role they play to promote and enhance entrepreneurship in Ghana,

(c) discuss the achievement of the ministry through its agencies,

(d) discuss the challenges confronting the ministry in its entrepreneurship support efforts and suggest ways to overcome those challenges.



Submission date: 19th June, 2024 (note: any submission later than this date will not be accepted).

ANY QUESTION?



THANK YOU

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